Capital Gains Deduction for Qualifying Business Transfers or Qualifying Cooperative Conversions

Use this form to calculate your capital gains deduction for a qualifying business transfer (QBT) or a qualifying cooperative conversion (QCC). Under a QBT, if certain conditions are met, you can claim this deduction on disposition of shares of the capital stock of a corporation to an employee ownership trust (EOT) or to a purchaser corporation wholly-owned by the EOT. Under a QCC, if certain conditions are met, you can claim this deduction on the disposition of shares of the capital stock of a corporation to another corporation that is a workers cooperative.

Before you complete this form

You **must** complete Form T24EOT, Joint Election for Capital Gains Deduction in Respect of a Qualified Business Transfer, or Form T25QCC, Joint Election for Capital Gains Deduction in Respect of a Qualifying Cooperative Conversion, before completing this form to report the elected amount. For more information, see "Additional information" on Form T24EOT for QBT or Form T25QCC for QCC.

How to complete this form

If you have **only one** qualifying disposition, complete parts 1 to 5 of this form.

If you have **more than one** qualifying disposition, use a separate form to complete parts 1 to 4 for each qualifying disposition. You should designate the order in which the deductions are claimed, but if you do not, the Minister may designate the order. You must claim any deduction under a QBT before any deduction under a QCC. After completing parts 1 to 4 for each qualifying disposition, complete Part 5.

Keeping records

Keep a copy of your calculations for your records.

If you are claiming a reserve, keep a record of the deduction you claimed for each qualifying disposition.

Part 1 – Information about the election

Identification of the QBT or QCC:

Date of disposition: Year Month Day

Trust account number or Business number:

Part 2 – Maximum deduction for the elected amount

Total eligible amount for the joint election (**maximum** of $10 million per election)		1
Percentage allocated to you	× %	2
Line 1 multiplied by the percentage from line 2	=	3
Inclusion rate	× 50%	4
Line 3 multiplied by the percentage from line 4	=	5
Capital gains deduction claimed in prior years at line 25395 of your return for this disposition, if any	–	6
Capital gains deduction available from your election: line 5 minus line 6	=	7

Part 3 – Maximum deduction for capital gains in the year

Taxable capital gains from line 12700 of your return **(1)**		8
Capital gains for the QBT or QCC that occurred in the current year reported on Schedule 3		9
Amount of 2024 reserve claimed for the QBT or QCC, if any	+	10
Line 9 plus line 10	=	11

(1) If you have **more than one** QBT or QCC, subtract the sum of all previous amounts from line 32 of the next page.

Part 3 – Maximum deduction for capital gains in the year (continued)

Amount from line 11 of the previous page					12
Amount of 2025 reserve claimed for the QBT or QCC, if any				–	13
Total capital gains for the QBT or QCC: line 12 minus line 13				=	14
Inclusion rate				× 50%	15
Taxable capital gains for the QBT or QCC only: line 14 multiplied by the inclusion rate on line 15				=	16
Enter **whichever is less**: amount from line 8 or line 16.					17
Net capital losses of other years (line 25300 of your return)					18
Amount from line 8		19			
Amount from line 17	–	20			
Line 19 minus line 20 (if negative enter "0")	=		► –		21
Line 18 minus line 21 (if negative enter "0")			=		22
Allowable business investment loss (ABIL) for the year (line 21700 of your return) **(2)**			+		23
Net investment loss for the year: If you have investment expenses in 2025, complete Chart A on page 4 and enter the amount from line 20 of Chart A. Otherwise, enter "0".			+		24
Add lines 22, 23, and 24			=	► –	25
Line 17 minus line 25				=	26
Enter **whichever is less**: amount from line 7 or line 26. Enter all or part of the amount you want to claim on **line 25395** of your return.			**Eligible capital gains deduction for QBT or QCC**		27

Part 4 – Allocation of amounts

Enter **whichever is less**: amount from line 7 or line 17.					28
Amount from line 27			–		29
Line 28 minus line 29 **Reduction amount**			=		30
Amount claimed on line 25395 of your return for this QBT or QCC			+		31
Line 30 plus line 31			=		32
Amount from line 23					33
Amount from line 24			+		34
Line 33 plus line 34			=		35
Enter **whichever is less**: amount from line 30 or line 35. (if the result is "0", enter "0" on lines 41 and 42 and continue to Part 5)				►	36
Amount from line 36					37
Amount from line 35			÷		38
Line 37 divided by line 38			=		39
Amount from line 33			×		40
Line 39 multiplied by line 40 **ABIL reduction**			=	► –	41
Line 36 minus line 41 **Net investment loss reduction**				=	42

(2) If you have **more than one QBT or QCC**, subtract the sum of all previous amounts from line 41 above.

Part 5 – Amounts to report

If you have more than one disposition:
Complete one column for each disposition. If you have more than three dispositions, use a separate sheet of paper. For each section in this part, add the amounts for dispositions 1 to 3 (and others, if any), then enter the **result** on the **applicable** "Total" line.

If you have only one disposition:
Report your amount directly on the applicable "Total" line.

	Disposition 1	Disposition 2	Disposition 3	
A. Deduction available from QCC election				
Amount from line 7 if the election is for a QCC		+	+	
			Total 17211 =	**A**
B. Deduction available from QBT election				
Amount from line 7 if the election is for a QBT		+	+	
			Total 17212 =	**B**
C. Taxable capital gains for QBT or QCC				
Amount from line 16		+	+	
			Total 17213 =	**C**
D. Portion of the taxable capital gains related to a capital gain deduction for QBT or QCC claimed				
Amount from lines 31 and 36		+	+	
			Total 17215 =	**D**
E. Portion of QSBCS or QFFP taxable capital gains related to a capital gain deduction for QBT or QCC claimed				
Amounts from line 31 and 36 if gains are from a qualified small business corporation shares (QSBCS) or qualified farm or fishing property (QFFP)		+	+	
			Total 17216 =	**E**
F. Allowable business investment loss reduction				
Amount from line 41		+	+	
			Total 17217 =	**F**
G. Net investment loss reduction				
Amount from line 42		+	+	
			Total 17218 =	**G**

Chart A - Net investment loss of the year

Investment expenses

Carrying charges and interest expenses (line 22100)					1
Net rental losses (line 12600)			+		2
Limited or non-active partnership losses (line 12200) other than allowable capital losses			+		3
Limited partnership losses of other years after 1985 (line 25100)			+		4
50% of exploration and development expenses (line 22400)			+		5
Any other investment expenses claimed in 2025 to earn property income (see the list of "other investment expenses" on the next page)			+		6
Line 18 of Part 3		7			
Line 22 of Part 3	–	8			
Line 7 minus line 8 (if negative enter "0")	=	►	+		9
Investment expenses: add lines 1 to 6, and line 9			=	►	10

Investment income

Investment income (lines 12000 and 12100)					11
Net rental income, including recaptured capital cost allowance (line 12600)			+		12
Net income from limited or non-active partnership (line 12200) other than taxable capital gains			+		13
Any other property income reported in 2025 (see the list of "other property income" on the next page) including annuity payments taxable under paragraph 56(1)(d) **minus** the capital portion deducted under paragraph 60(a)			+		14
50% of income from the recovery of exploration and development expenses (line 13000)			+		15
Line 8 of Part 3		16			
Line 17 of Part 3	–	17			
Line 16 minus line 17	=	►	+		18
Investment income: add lines 11 to 15, and line 18			=	► –	19
Line 10 minus line 19 (if negative enter "0") **(3)**		**Net investment losses for the year**		=	20

(3) If you have **more than one** QBT or QCC, subtract the sum of all previous amounts from line 42 of Part 4.

See the privacy notice on your return.

List of other investment expenses and other property income

This section lists what is included and not included as "other investment expenses" and "other investment income." Use these lists to help you complete line 6 and line 14 of Chart A.

Other investment expenses

Include:

- repayments of inducements
- repayments of refund interest
- sale of agreement for sale, or mortgage or hypothecary claim included in proceeds of disposition in a previous year under subsection 20(5)
- foreign non-business tax under subsections 20(11) and 20(12)
- life insurance premiums deducted from property income
- capital cost allowance claimed on certified films and videotapes
- farming or fishing losses claimed by a non-active partner or a limited partner
- the uncollectible portion of proceeds from dispositions of depreciable property (except timber resources, passenger vehicles that cost more than $30,000 for vehicles acquired prior to 2022, $34,000 for vehicles acquired in 2022, $36,000 for vehicles acquired in 2023 and $37,000 for vehicles acquired in 2024, and zero-emission passenger vehicles (ZEPV) that cost more than $55,000 for ZEPV acquired after March 18, 2019, $59,000 for ZEPV acquired in 2022, $61,000 for ZEPV acquired after 2022)

Do not include:

- expenses incurred to earn business income
- repayment of shareholders' loans deducted under paragraph 20(1)(j)
- interest paid on money borrowed to:
  - buy an income averaging annuity contract
  - pay a premium under a registered retirement savings plan
  - make a contribution to a registered pension plan
  - make a contribution to a deferred profit-sharing plan

Other property income

Include:

- amounts from insurance proceeds for the recapture of capital cost allowance (other than amounts already included on line 9)
- home insulation or energy conversion grants under paragraph 12(1)(u)
- payments received as an inducement or reimbursement
- income from the appropriation of property to a shareholder
- farming and fishing income reported by a non-active or a limited partner
- other income from a trust
- allowable capital losses included in partnership losses of other years after 1985
- amounts withdrawn from AgriInvest Fund 2
- CPP or QPP death benefit payments reported on your T1 return

Do not include:

- income amounts that relate to business income
- payments received from an income averaging annuity contract
- payments received from an annuity contract bought under a deferred profit-sharing plan
- shareholders' loans included in income under subsection 15(2)